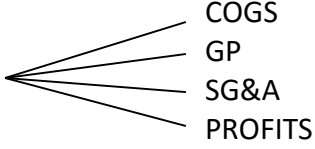


KEY RATIOS - THOUGHTS

- TREND
- COMMON SIZE (%) 
- OCF

- +
- > Profit
- > Investment Needs (I Cash)
- % Growth Rate

• FREE CASH FLOW

- $\frac{S}{A} =$ Effectiveness

- $\frac{P}{S} =$ Efficiency

- $\frac{OCF}{P} =$ Productive

- $\frac{P}{E} =$ Return on Equity

- $\frac{P}{A} =$ Return on Assets

- Receivable Days - ↓

- Inventory Days - ↓



 + % Growth Rate

 OCF > Profits > Sales > Assets

KEY RATIOS WORKSHEET	X1	X2	X3	X4	X5	X6
COMMON SIZE %						
• COGS/Sales %						
• GP/Sales %						
• SG&A/Sales %						
• PROFITS/Sales (aka: Net Income/Sales) %						
OCF						
• + (Y/N)						
• > Profit (Y/N)						
• > Investment Needs (I Cash) Y/N						
% Growth Rate (Year over Year)						
• Assets – YOY %						
• Revenue – YOY %						
• Profits – YOY %						
• OCF – YOY %						
Free Cash Flow (OCF – ICF) \$						
S/A = Effectiveness % (Sales ÷ Total Assets)						
P/S = Efficiency % (Profits ÷ Sales)						
OCF/P = Productive % (OCF ÷ Profits)						
P/E = Return on Equity % (Profits ÷ Total Equity)						
P/A = Return on Assets % (Profits ÷ Total Assets)						
Receivable Days - ↓						
Inventory Days - ↓						

6. LARVA

LARVA, INC.

Larva, Inc. manufactures equipment. The company has 49 plants and 185 distributors world wide. International business accounted for 50% of X3 sales, which is the most recent year.

Larva has approximately 54,200 employees and 31,585 shareholders.

As a major exporter from the USA, a stronger dollar will have an unfavorable impact on earnings, while a weaker dollar will have a positive impact. The Company's principle competitors have their manufacturing facilities in Europe and Japan, while the majority of Larva's assets are stateside. Relatively speaking, the Company's costs rise with a stronger dollar when compared with its rivals.

Larva is beefing up its presence in China, a country with one of the world's fastest growing economies and a seemingly endless need for infrastructure. Larva has maintained strong business relationships there for more than 20 years and is well positioned to participate in the future growth that most view as inevitable.

Larva shares are neutrally ranked for relative performance in the year ahead, based on the current price and earnings. Still we think Larva will continue to be a leader for the foreseeable future in nearly every market in which it competes, and should be viewed as a core capital goods holding.

SOURCE: VALUE LINE

You have an opportunity to purchase these shares for \$64.75/share.

Share Price		x1	x2	x3
High		\$60.70	\$75.30	\$73.90
Low		\$44.40	\$48.30	\$54.00

LARVA, INC.
CONSOLIDATED FINANCIAL STATEMENTS (MILLIONS)
INCOME STATEMENTS
FYE

	x1	x2	x3
Sales	\$11,235	\$13,863	\$15,451
Cost of Goods Sold	9,075	10,834	12,000
Gross Profit	2,160	3,029	3,451
Selling, General & Administrative	1,262	1,348	1,483
Research & Development	319	311	375
Other Expenses	29	0	0
Net Lease & Other Income	412	139	235
EBIT	962	1,509	1,828
Interest Expense	268	200	191
Income Taxes	42	354	501
Net Income (Profits)	\$652	\$955	\$1,136
Note: Depreciation and Amortization are in CoGS, SGA, & RD			
Earnings/Share	\$3.36	\$4.70	\$5.72

LARVA, INC.
BALANCE SHEETS (MILLIONS)
FYE

	x0	x1	x2	x3
Assets:				
Cash	\$119	\$83	\$419	\$638
Accounts Receivable	3,034	3,625	4,290	4,285
Prepaid Expense	709	838	865	803
Inventory	1,675	1,525	1,835	1,921
Total Current Assets	5,537	6,071	7,409	7,647
Leases Receivable	1,767	2,284	2,794	3,192
Invest. in Affiliates	345	395	455	476
Deferred Income Taxes	1,254	1,321	1,243	1,127
Property, Plant & Equipment				
Gross	7,842	7,965	8,230	8,303
Accumulated Depreciation	3,888	4,138	4,454	4,659
Net	3,954	3,827	3,776	3,644
Intangibles	357	353	237	170
Other	702	556	336	574
Total Assets	\$13,916	\$14,807	\$16,250	\$16,830
Liabilities				
Payables, current	\$2,674	\$3,138	\$3,865	\$3,613
Short-Term Debt	941	822	740	1,174
Curr. Part Long-Term Debt	612	711	893	1,262
Total Current	4,227	4,671	5,498	6,049
Retirement Liabilities	3,995	4,018	3,548	3,393
Deferred Tax & Other	0	24	23	36
Long Term Debt	4,119	3,895	4,270	3,964
Total Liabilities	\$12,341	\$12,608	\$13,339	\$13,442
Common (Shareholder Invest.)	932	965	950	548
Retained Earnings	643	1,234	1,961	2,840
Total Equity	1,575	2,199	2,911	3,388
Total Liabilities & Equity	\$13,916	\$14,807	\$16,250	\$16,830

LARVA, INC.
CONSOLIDATED STATEMENT OF CASH FLOWS (MILLIONS)
FYE

	x1	x2	x3
Operating Cash Flow			
Net Income	\$652	\$955	\$1,136
Depreciation	682	683	668
Amortization	0	0	0
Change in Other Current Assets	-129	-27	62
Change in Accounts Receivable	-591	-665	5
Change in Inventory	150	-310	-86
Change in Accounts Payable	464	727	-252
Change in Taxes Payable	24	-1	13
Change in Other Current Liabilities	-20	100	803
Total Operating Cash Flow	\$1,232	\$1,462	\$2,349
Investing Cash Flow			
Fixed Asset investment	-555	-632	-536
Other investments	-484	-156	-474
Total Investing Cash Flow	-\$1,039	-\$788	-\$1,010
Financing Cash Flow			
Borrow (Repay)	-201	-95	-461
Paid in (paid out) Shareholder Investment Acct.	33	-15	-402
Dividends	-61	-228	-257
Total Financing Cash Flow	-\$229	-\$338	-\$1,120
Total Change in Cash	-\$36	\$336	\$219
Cash, begin	119	83	419
Cash, end	83	419	638

REMINDER:

- A positive number is good for cash
- A negative number is bad for cash